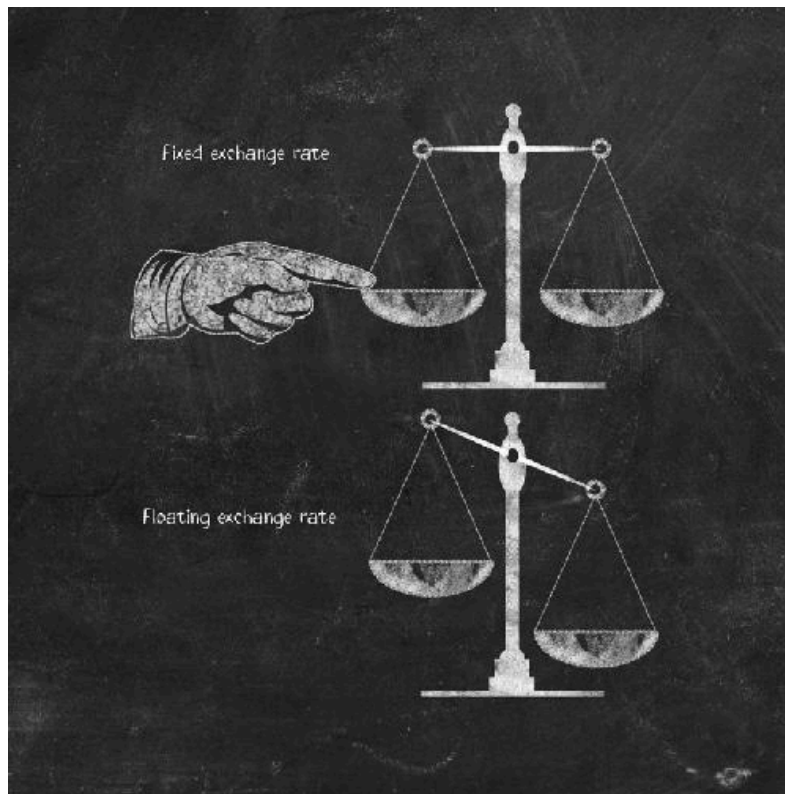


Fixed and floating exchange rate systems



Systems of exchange rates lie on a spectrum between fixed and floating. In a pure floating exchange rate system, the price of one currency in terms of another arises out of market supply and demand for the currency – the price of the currency tends to rise when demand for it goes up or supply falls.

In contrast, an exchange rate is fixed when a set rate is maintained: for example, the Argentinian government might fix its exchange rate at two pesos to the US dollar. There are also intermediate arrangements, such as the establishment of exchange-rate bands within which a currency is allowed to fluctuate. A fixed exchange rate binds a country's monetary policy – its control over money supply and interest rates – because this has to be consistent with the specified rate. Compared to a floating exchange rate, there is less freedom to alter monetary policy in response to domestic economic

conditions. Some, however, argue that fixed exchange rates can enhance economic stability.